

Berkshire's \$6.8B Taylor Morrison Bet: Abel's First Big Move Signals Housing Cycle Turn

\$6.8 billion

Transaction value

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What \$6.8 billion reveals

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Transaction value

\$72.50

Key figure

\$8.5 billion

Debt / financing

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Abel took over as Berkshire CEO at the start of 2026. Warren Buffett, 95, told CNBC he never spoke to Taylor Morrison's CEO. "Greg did that faster than I could have done it, smoother than I could have done it," Buffett said. The message was clear: succession is operational.

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Taylor Morrison shares jumped 22% Monday. Class B Berkshire shares fell less than 1%. The market priced the deal as accretive for Berkshire and a validation of Taylor Morrison's franchise value after a prolonged housing downturn.

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The acquisition expands Berkshire's already dominant housing footprint. The conglomerate owns Clayton Homes, the nation's largest manufactured homebuilder, a portfolio of building product companies, and Berkshire Hathaway HomeServices, one of the largest residential brokerage networks in the U.S.

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Abel's statement framed the deal as a platform play. "Over time, we expect to unify our site-built homebuilding operations into a combined platform," he said. That language signals operational consolidation, not just financial ownership. Berkshire will likely merge Taylor Morrison with its existing site-built operations to capture scale efficiencies in land acquisition, construction, and distribution.

Affordability pressures have suppressed existing-home sales and new construction starts

The timing is contrarian. Mortgage rates remain elevated. Affordability pressures have suppressed existing-home sales and new construction starts for two consecutive years. The National Association of Home Builders' sentiment index has been below 50-indicating poor conditions-for most of 2025 and early 2026.

Berkshire is betting the cycle turns

Berkshire is betting the cycle turns. "They are betting the housing cycle will turn and that there is pent-up demand," said Bill Stone, chief investment officer at Glenview Trust and a Berkshire shareholder. The logic: household formation continues, supply remains constrained, and a rate normalization-however gradual-will unlock deferred demand.

The conglomerate sits on a cash hoard nearing \$400 billion

The deal is modest by Berkshire standards. The conglomerate sits on a cash hoard nearing \$400 billion. Its last major acquisition was the \$9.7 billion cash purchase of OxyChem from Occidental Petroleum in October 2025. Taylor Morrison adds roughly 1.7% to Berkshire's enterprise value.

But the signal matters more than the size

But the signal matters more than the size. Abel's first major strategic move is a bet on housing—a sector Berkshire knows intimately and one that has been punished by the rate cycle. It is also a bet on operational integration, not passive holding. Berkshire is not buying a portfolio; it is buying a platform to combine.

For institutional investors, the deal raises a question: if Berkshire sees value

For institutional investors, the deal raises a question: if Berkshire sees value in homebuilding at this point in the cycle, what does that imply for public homebuilder valuations? Taylor Morrison traded at roughly 1.1x book value before the offer. The 24% premium implies Berkshire sees replacement cost and franchise value well above market pricing.

Why it matters

But Berkshire just bought the option at a 24% premium.

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